Cholamandalam Investment

CHOLAFIN

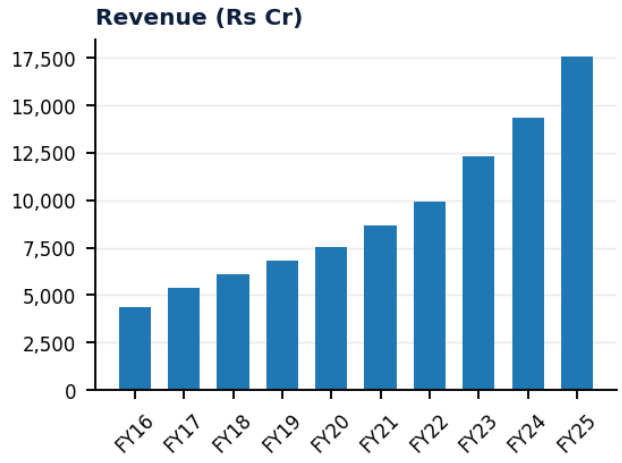
Sector: Financial Services

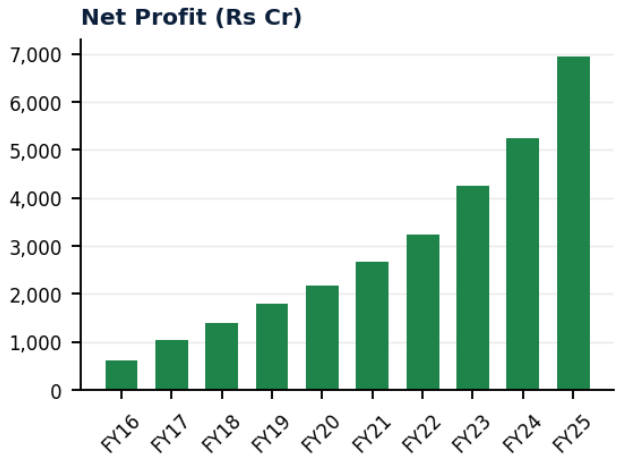
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
17,575	6,950	55.6%

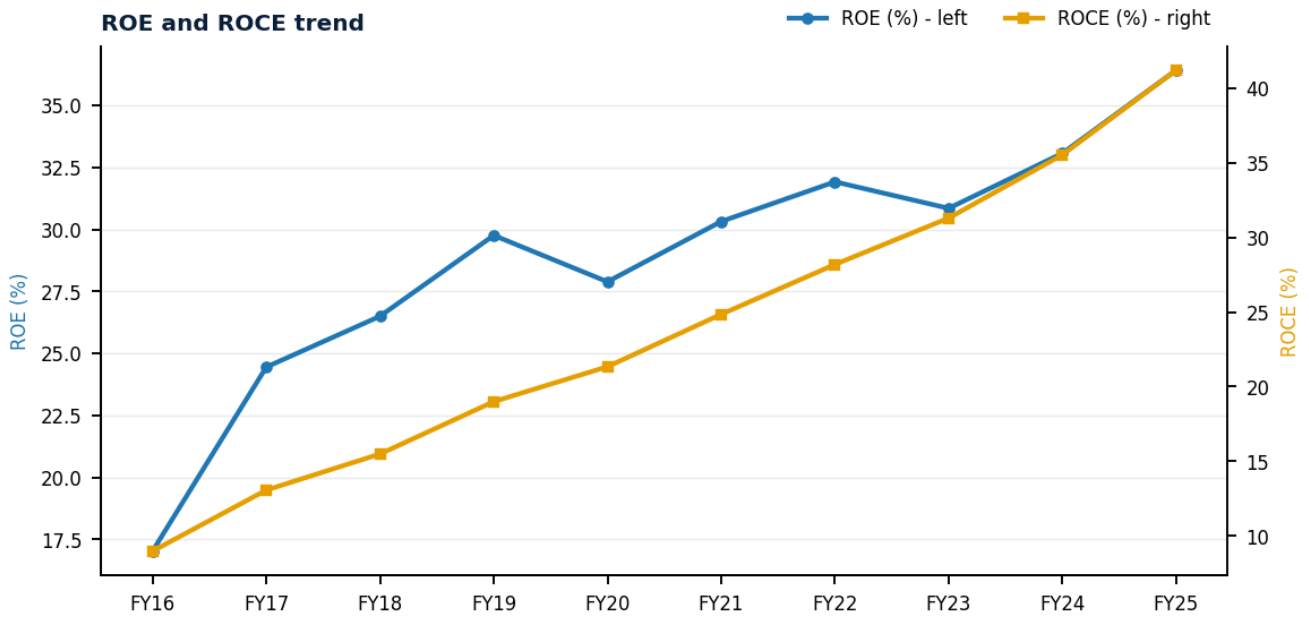
ROE (%)	ROCE (%)	Debt / Equity (x)
36.4%	41.2%	0.20x

10-year Revenue and Net Profit

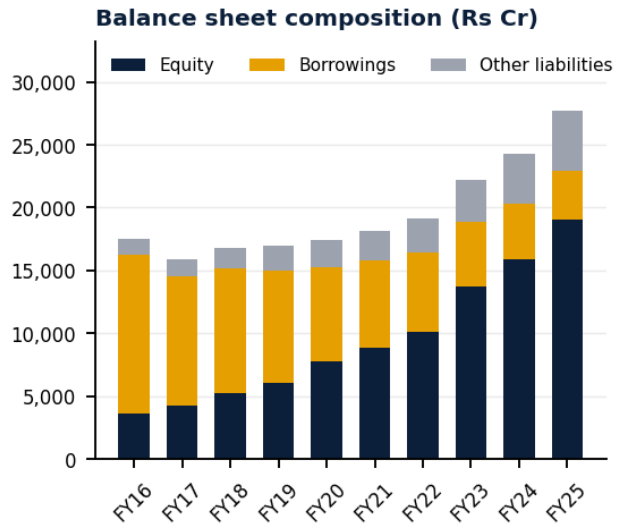


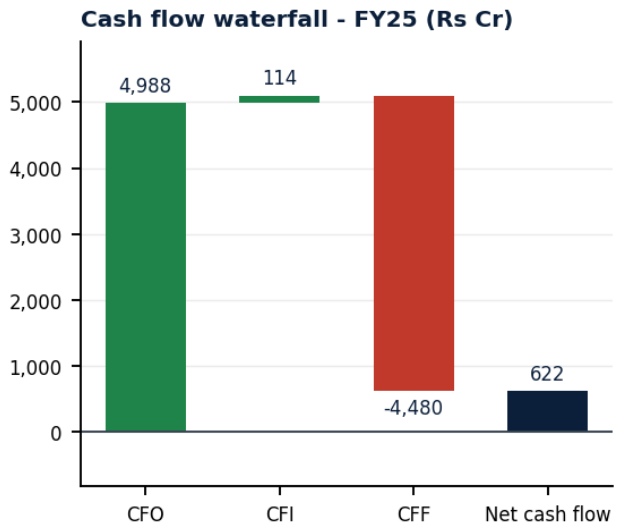


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency (86%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (81%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (72%)
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (69%)

Cons - what to watch

- 5-year revenue CAGR of 18.5% is the closest metric to the sector median of 17.1%, with no standout weakness (61%)

Capital allocation pattern (FY2025)

Asset Monetizer

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.17)	**Asset Light (0.7%)**	**No**	**Yes - repaying debt**